



Note: In this chapter, I painted the definitions of Assets, Liabilities, etc. with a broad brush. In most accounting systems, the accounts are further categorized as Current Assets (Assets likely to turn to Cash within the year), Fixed Assets (assets that will be part of the company for a long time such as cars, computers, etc.). Similarly, liabilities might be broken down as well, further categorized as Current Liabilities (due this year) or Long-Term liabilities that are not due for several years (mortgages., etc). A good accounting system offers the flexibility to categorize assets into any grouping that works for the business.

Now, let's quickly define some of the accounting terms I used in this chapter:

- **Assets**—All items of value within the business such as cash, vehicles, computers, inventory, etc.
- **Equity**—The owner's portion of the business. How much of the assets are funded by the company owner(s) or stockholders.
- **Liabilities**—The creditor's claims against the business assets. How much of the assets must be used to pay off debt.
- **Chart of Accounts**—Itemized list of every asset, liability, and equity account in the business. It is used as a repository for the current value of each item. It is sometimes called the *General Ledger*.
- **Journals**—Transaction files recording events that happen to the various assets and liabilities in the business.
- **In Balance**—The condition where the total value of Assets equals the total value of liabilities and owner's equity.
- **Balance Sheet**—The report listing all of the assets of the business as well as all of the debt and the value of the owner's portion of the business.
- **Net Worth**—The value remaining after all of the debt is subtracted from the total value of all the assets.
- **Posting**—The process of transferring each journal entry into the Chart of Accounts.
- **Debit**—An accountant's term which means an increase in an asset account's value or a decrease in either a liability's value or an equity account value.
- **Credit**—An accountant's term which means a decrease in an asset account's value or an increase in either a liability's value or an equity account value.

Summary

In this chapter, I've covered the basics of double entry accounting and shown how this information is recorded in the system. In the next chapter, I will expand upon these concepts to show how making money appears in the chart, and the journal entries to record revenues and expenses.



Note: The Appendix contains some SQL scripts to create tables and procedures so you can try the accounting transactions out using Microsoft SQL Server (2005 or higher). These scripts are not meant to help you design a complete accounting system but, rather, they give you enough to let you watch the transactions through the tables and flows in a database. If you need to write your own system, feel free to use these scripts as a basic starting point.